Managing Your Finances

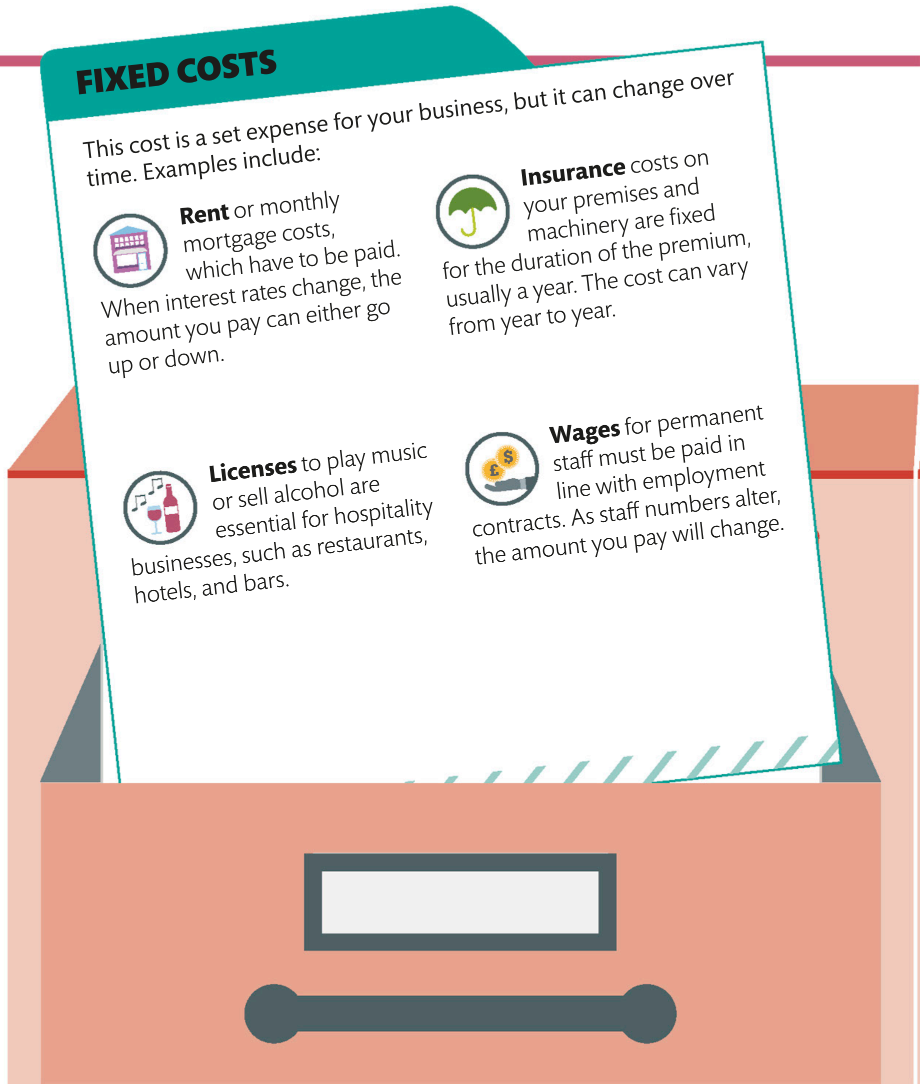
Ongoing financial management is essential to make sure your business has the funds it needs, when it needs them. This means you must maintain accurate financial records from the beginning.

Keeping records

Effective financial management relies on accurate bookkeeping, (see pp.88–89). This allows you to see how much money the business has at any time. It is all-important when calculating your profit and loss statement (also see pp.88–89). Before you begin selling, you will need a system to record all sources of income and expense. You can either do this manually or by using online software. You should also record the type of income or expense. For example, selling an asset creates a one-off lump sum, whereas regular transactions better indicate income. Similarly, buying an asset is a one-off cost, whereas regular expenses give a clearer picture of your outgoings.

Understanding business costs

There are two types of business costs: fixed costs (also called overheads) and variable costs. Fixed costs are the same no matter what business activities occur. This makes them easy to predict and account for. However, being fixed, they are difficult to reduce. In contrast, variable costs relate directly to business activities so can go up and down. This makes them harder to predict at first, but you may be better able to do so over time. As variable costs relate to business activities, you can take steps to reduce them when necessary.



FIXED COSTS

This cost is a set expense for your business, but it can change over time. Examples include:

Rent or monthly mortgage costs, which have to be paid. When interest rates change, the amount you pay can either go up or down.

Insurance costs on your premises and machinery are fixed for the duration of the premium, usually a year. The cost can vary from year to year.

Licenses to play music or sell alcohol are essential for hospitality businesses, such as restaurants, hotels, and bars.

Wages for permanent staff must be paid in line with employment contracts. As staff numbers alter, the amount you pay will change.